



Moody's Corporation Reports Record Results for Second Quarter; Increases Forecast for Year

NEW YORK, Jul 23, 2001 -- Moody's Corporation (NYSE:MCO) today announced results for the second quarter of 2001, setting new revenue and earnings records.

Revenue in the second quarter of 2001 was \$205.2 million, an increase of 37.3% from \$149.4 million for the same period of 2000. Second quarter operating income of \$104.0 million was up 39.0% from \$74.8 million in the second quarter of 2000. Reported net income for the three months ended June 30, 2001 was \$55.5 million, an increase of 33.1% from \$41.7 million for the same period of 2000. Moody's second quarter results included net interest expense of \$2.3 million after tax, representing interest expense on \$300 million of privately placed debt in connection with its spin-off from The Dun & Bradstreet Corporation, net of interest income on invested cash.

Earnings per share for the second quarter of 2001 were \$0.35 basic and \$0.34 diluted, compared with \$0.26 basic and diluted for the second quarter of 2000. On a pro forma basis, including interest expense on the private placement debt (and excluding any interest income) for both periods, second quarter diluted earnings per share would have been \$0.34 for 2001 compared with \$0.24 for 2000, a gain of 41.7%.

Moody's strong second quarter results were driven by a 40.1% rise in global ratings revenue over the comparable quarter a year ago. Declining interest rates combined with increased investor demand resulted in exceptional year-over-year issuance increases for many sectors of the U.S. fixed income market. Strong gains were also recorded in Europe where corporate and financial institutions turned increasingly to the long-term debt markets for funding. Global research revenue increased by 20% and risk management revenue rose by 19% in the second quarter compared to the previous year.

Revenue in the United States was \$146.1 million for the second quarter of 2001, an increase of 40.9% from \$103.7 million in the same period of 2000. This increase reflected strong growth in ratings revenue, principally in corporate and structured finance. Gains were also made in financial institutions and sovereign ratings and in public finance ratings.

Moody's international revenue was \$59.1 million in the second quarter of 2001, an increase of 29.3% over \$45.7 million in the second quarter of 2000. Ratings revenue growth accelerated during the second quarter, due in particular to a rebound in the number of corporate bonds issued, coupled with strong growth in structured finance ratings in Europe. International research and risk management revenue both achieved strong double-digit growth in the second quarter.

John Rutherford, Jr., President and Chief Executive Officer of Moody's Corporation, said, "Moody's record second quarter results reflect continuing favorable long-term market trends, strong cyclical conditions, and outstanding execution by Moody's in response to the requirements of our customers. We capitalized on the strong demand for bonds in the United States, Europe and other regions and delivered great value to issuers, investors and shareholders."

Year-to-date Results

Revenue for the first six months of 2001 was \$385.4 million, an increase of 33.5% from \$288.7 million for the same period of 2000. First half operating income of \$193.8 million was up 39.8% from \$138.6 million in the first half of 2000. Reported net income for the six months ended June 30, 2001 was \$103.5 million, an increase of 33.4% from \$77.6 million for the same period of 2000. Moody's first half results included net interest expense of \$4.6 million after tax, representing interest expense on \$300 million of privately placed debt in connection with its spin-off from The Dun & Bradstreet Corporation, net of interest income on invested cash.

Earnings per share for the first half of 2001 were \$0.65 basic and \$0.64 diluted, compared with \$0.48 basic and diluted for the first half of 2000. On a pro forma basis, including interest expense on the private placement debt (and excluding any interest income) for both periods, first half diluted earnings per share would have been \$0.63 for 2001 compared with \$0.44 for 2000, a gain of 43.2%.

Moody's year-to-date results reflected 35% year-to-year growth in global ratings revenue. The series of interest rate cuts by the U.S. Federal Reserve Board helped to fuel record levels of overall debt issuance in the first half of 2001 and enabled corporate investment grade borrowers to shift short-term debt to long-term financing at attractive rates. European issuers have also raised funds through the public debt markets at record levels during the first six months of the year. Global research

revenue increased 20% for the year to date, and global risk management revenue increased 35%.

Revenue in the United States was \$278.0 million for the first six months of 2001, an increase of 36.6% from \$203.5 million in the same period of 2000. Ratings revenue growth was particularly strong in corporate and structured finance.

Moody's international revenue was \$107.4 million in the first half of 2001, an increase of 26.1% over \$85.2 million in the first half of 2000. The first half growth reflected increases in ratings revenue, due in particular to strong growth in structured finance ratings in Europe. International research revenue achieved strong double-digit first half growth, reflecting strong demand for Moody's products delivered via the Internet. First half international risk management revenue also grew at a double-digit rate.

2001 Outlook

Long-term trends in the global capital markets will create important growth opportunities for Moody's over the next decade. Those trends include the increasing availability of investment information, the globalization and deregulation of markets, the disintermediation of banks and the growth of structured finance. Although these long-term trends are very strong, Moody's is also subject to short-term variations in capital market conditions, which are difficult to forecast. Wall Street forecasts of second half 2001 debt issuance in the U.S. anticipate from modest to marked declines in volumes from the record first half levels. Business fundamentals and investment are expected to remain weak, and there is some uncertainty about the continued strength of the consumer economy. Moody's is not expecting long-term interest rates to decline sufficiently to stimulate coupon refinancing by corporate and financial institutions. In Europe, Moody's expects second half volumes to roughly match the first half, with good growth based on relatively weak prior year comparisons; a possible reduction in European Central Bank interest rates could result in stronger issuance levels than the current expectation. Based on these conditions, revenue in the remaining quarters of 2001 is expected to be lower than the first and second quarter levels, with revenue and earnings growth rates also lower, versus stronger prior year comparisons.

Based on these assumptions and depending on the timing of the projected declines in U.S. issuance, for the full year 2001 Moody's anticipates low- to mid-twenties percent revenue and operating income growth. The company also expects close to twenty to mid-twenties percent growth for the year in as reported earnings per share and mid- to high-twenties percent growth in pro forma earnings per share. The pro forma basis includes interest expense on the private placement debt (and excluding any interest income) for both periods. For the third quarter, Moody's expects low-teens to twenty percent growth in revenue compared to the same period of last year, with lower growth in operating income due to a lower margin than the prior year quarter, resulting in mid- to high-single digit growth in reported earnings per share and high-single digit to mid-teens growth in pro forma earnings per share.

Moody's Corporation (NYSE:MCO) is a leading provider of credit ratings, research and analysis covering debt instruments and securities in the global capital markets. Further information is available at www.moody's.com.

"Safe Harbor" Statement under the Private Securities Litigation Reform Act of 1995

The statements contained in the "2001 Outlook" section of this release are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. The forward-looking statements and other information are made as of July 23, 2001, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors include, but are not limited to, customer reaction to, and the exercise by various governmental authorities of their discretionary authority in respect of, the Company's guilty plea on April 10, 2001, and the conduct underlying it; changes in the volume of debt securities issued in domestic and/or global capital markets; changes in interest rates and other volatility in the financial markets; possible loss of market share through competition; introduction of competing products or technologies by other companies; pricing pressures from competitors and/or customers; the potential emergence of government-sponsored credit rating agencies; proposed U.S., foreign, state and local legislation and regulations, including those relating to nationally recognized statistical rating organizations; the possible loss of key employees to investment or commercial banks or elsewhere and related compensation cost pressures; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; the uncertainty regarding market acceptance and revenue generating opportunities for web-based research products; and other factors as discussed in The New D&B Corporation Form 10 (Amendment No. 2) filed on September 11, 2000 with the Securities and Exchange Commission and in other filings made by the Company from time to time with the Securities and Exchange Commission.

Moody's Corporation
Consolidated Statements of Operations (unaudited)

Three Months Ended Six Months Ended

	June 30,		June 30,	
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Amounts in millions, except per share amounts	2001	2000	2001	2000
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Revenue	\$ 205.2	\$ 149.4	\$ 385.4	\$ 288.7
Expenses:				
Operating, General and Administrative Expenses	97.2	70.3	183.5	141.8
Depreciation and Amortization	4.0	4.3	8.1	8.3
Total Expenses	101.2	74.6	191.6	150.1
Operating Income	104.0	74.8	193.8	138.6
Non Operating Income (Expense), net	(4.1)	--	(7.6)	0.5
Income Before Provision for Income Taxes	99.9	74.8	186.2	139.1
Provision for Income Taxes	44.4	33.1	82.7	61.5
Net Income	\$ 55.5	\$ 41.7	\$ 103.5	\$ 77.6
Basic Earnings Per Share	\$ 0.35	\$ 0.26	\$ 0.65	\$ 0.48
Diluted Earnings Per Share	\$ 0.34	\$ 0.26	\$ 0.64	\$ 0.48
Weighted Average Number of Shares Outstanding:				
Basic	158.0	161.9	158.5	161.5
Diluted	161.2	163.3	161.2	162.8

Notes: Non Operating Income (Expense), net for the three months and six months ended June 30, 2001 includes \$4.1 million and \$8.2 million, respectively, of net interest expense, reflecting \$5.8 million and \$11.5 million, respectively, of interest expense on the \$300 million of private placement debt that was incurred in connection with the Company's September 30, 2000 spin-off from The Dun & Bradstreet Corporation, net of interest income on invested cash.

Diluted earnings per share on a pro forma basis, excluding the interest income on invested cash in 2001 and including interest expense related to the \$300 million debt private placement in 2000, is as follows:

	Three Months Ended June 30,		Six Months Ended June 30,	
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	2001	2000	2001	2000
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Pro Forma Diluted Earnings Per Share	\$ 0.34	\$ 0.24	\$ 0.63	\$ 0.44

Moody's Corporation
Supplemental Revenue Information (unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
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Amounts in millions	2001	2000	2001	2000
Ratings:				
Structured				
Finance Ratings	\$ 68.3	\$ 51.0	\$ 127.4	\$ 91.5
Corporate Finance Ratings	62.6	38.2	117.1	82.8

Financial Institutions and Sovereign Ratings	32.9	28.2	64.3	55.6
Public Finance Ratings	17.8	12.2	30.8	21.6
Total Ratings Revenue	181.6	129.6	339.6	251.5
Other	23.6	19.8	45.8	37.2
Total Revenue	\$ 205.2	\$ 149.4	\$385.4	\$ 288.7

Geographic Revenue:

United States	\$ 146.1	\$ 103.7	\$278.0	\$203.5
International	59.1	45.7	107.4	85.2
Total Revenue	\$ 205.2	\$ 149.4	\$ 385.4	\$ 288.7

CONTACT:

For Moody's Corporation
Jeanne Dering, 212/553-3638
jeanne.dering@moody's.com